TECHNOVA SOLUTIONS PVT. LTD.
APPROVAL MATRIX

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1. Purpose

This Approval Matrix defines delegated financial and operational approval authority for TechNova Solutions Pvt. Ltd. (“TechNova” or “the Company”). It provides a consistent control framework for expenditures, procurement commitments, reimbursements, contracts, and other transactions requiring authorization.

The matrix must be read together with the Expense Policy, Reimbursement Policy, Procurement Policy, and relevant departmental controls.

2. Scope

This matrix applies to employees, managers, budget owners, functional leaders, Finance personnel, and executives who approve or authorize Company commitments. Approval authority applies only within the person's delegated role, budget responsibility, and any additional restrictions imposed by Company policy.

3. Approval Principles

- Approval must occur before the Company becomes materially committed, unless an approved emergency process applies.
- Approvers must have sufficient authority for the transaction value and type.
- No individual may approve their own personal expense or a transaction from which they have an undisclosed conflict.
- Transactions must not be split to avoid an approval threshold.
- Budget availability does not replace required specialist approval.
- Security, Legal, Procurement, Finance, or other specialist review may be required regardless of monetary value.
- Approval does not replace invoice, receipt, delivery, or accounting controls.

4. Approval Authority Levels

Level	Typical Authority	General Use
A1	Employee / Requestor	Initiates requests; cannot self-approve.
A2	Manager / Team Lead	Routine departmental operating expenses within delegated limits.
A3	Department Head / Director	Higher-value departmental commitments and budget ownership.
A4	Executive / CFO	Material commitments, exceptions, higher-risk transactions, or designated categories.

Level	Typical Authority	General Use
A5	Managing Director / Board Authority	Transactions requiring highest-level authorization under Company governance.

5. Monetary Approval Thresholds

The following baseline thresholds apply to individual commitments unless a stricter category-specific requirement, budget restriction, contract rule, or executive control applies.

Transaction Value (INR)	Primary Approval	Additional Control
Up to ■25,000	Manager / Team Lead	Budget confirmation
■25,001 – ■1,00,000	Department Head / Director	Budget + applicable procurement review
■1,00,001 – ■5,00,000	Department Head / Director + Finance	Procurement / specialist review where applicable
■5,00,001 – ■25,00,000	Executive / CFO	Finance + Procurement and relevant specialist review
Above ■25,00,000	CFO + Managing Director	Finance, Procurement, Legal and other required reviews

For recurring contracts, approval should normally consider the total expected commitment during the initial contractual term, including committed fees and minimum obligations, rather than only the first invoice.

6. Purchase Approval

- Purchase requests must follow the applicable procurement process.
- The requestor cannot approve the request solely because it falls within the requestor's budget.
- Material technology, security, privacy, or legal risks require specialist review.
- Purchase orders must not be issued before required authorization.

7. Procurement Approval Routing

- Requestor → Manager / Budget Owner
- Department Head where required
- Procurement review for applicable purchases
- Information Security / Technology review for relevant technology or data services
- Legal review for designated contracts
- Finance review for applicable financial thresholds
- Executive approval for material commitments

8. Expense Approval

Expense Type	Approval Requirement
Routine employee expense	Manager / authorized approver within delegated limit
High-value employee expense	Higher approval according to transaction value
Customer hospitality	Manager plus additional approval where required by value, risk, or ethics controls
Travel requiring advance approval	Manager / designated travel approver before booking
Policy exception	Appropriate higher authority plus documented exception

9. Reimbursement Approval

Employee reimbursement claims must be approved by an authorized manager or designated approver and remain subject to Finance review.

- The claimant cannot approve their own reimbursement.
- Finance may reject or return incomplete claims.
- Approval does not override eligibility requirements.
- Duplicate reimbursement is prohibited.

10. Contract Approval

Contracts and statements of work must be approved according to both financial value and contractual risk.

- Legal review may be mandatory for designated contract types regardless of value.
- Contracts involving Company data may require privacy and security review.
- Contracts involving system access may require Information Security review.
- Long-term commitments should be evaluated using total contractual exposure.

11. Recurring Commitments

Recurring subscriptions, retainers, cloud services, maintenance agreements, and similar commitments must be evaluated on total expected commitment.

- Initial term value
- Minimum contractual commitment
- Renewal obligations
- Usage-based charges where reasonably estimable
- Implementation and termination costs

12. Budget Approval vs. Transaction Approval

Budget ownership and transaction approval are distinct controls. A transaction may require approval from a function other than the person who owns the budget. An approved annual budget does not authorize every individual transaction without the required transaction-level approval.

13. Emergency Approval

Emergency commitments may use an expedited route when immediate action is necessary to protect safety, security, critical operations, or business continuity.

- Document the emergency reason.
- Obtain the highest reasonably available authorized approval.
- Notify Finance or Procurement as soon as practical.
- Regularize the transaction through the normal process afterward.

14. Exception Approval

Policy exceptions require documented approval by an authority at least equivalent to the authority required for the underlying transaction and, where risk warrants, a higher authority. Exceptions must not become a routine method of bypassing controls.

15. Segregation of Duties

- Requesting, approving, receiving, and paying should be separated where practical.
- The same person should not control the complete lifecycle of a material transaction.
- Supplier setup and payment authorization should be appropriately separated.
- Finance may impose additional segregation for higher-risk transactions.

16. Self-Approval Prohibition

No employee may approve an expense, reimbursement, purchase, contract, or payment solely because the employee initiated or personally benefits from the transaction.

17. Conflict of Interest

An approver must disclose an actual or potential conflict and arrange independent review where appropriate.

- Family or personal relationship with a supplier
- Financial interest in a supplier
- Outside employment relationship
- Personal benefit connected with the transaction

18. Delegated Authority

Approval authority may be delegated only through an authorized Company process. Delegation should identify scope, duration, transaction types, and monetary limit. Delegation does not remove accountability for compliance.

19. Temporary Delegation

During leave, travel, or other absence, an authorized alternate may approve within documented delegated authority. Informal substitution should not be used where the system requires a designated approver.

20. Approval Evidence

Approvals should be captured in the designated Company system or retained in a reliable written record.

- Approver identity
- Date of approval
- Transaction or request reference
- Approved amount
- Relevant conditions or exceptions

21. Approval After Commitment

Retroactive approval should be exceptional and must not be used routinely to authorize purchases made without required approval. Where necessary, the reason and circumstances should be documented.

22. Purchase Splitting

Employees must not divide a single requirement into multiple purchase requests, invoices, contracts, or transactions to remain below an approval threshold.

23. Related Transactions

Transactions that are part of the same business requirement should be considered together when determining approval requirements, even when individual invoices or purchase orders are issued separately.

24. Supplier Selection Approval

Approval of a purchase does not automatically constitute approval of supplier selection where a separate sourcing process is required. Supplier-selection records should identify the basis for selection and any approved single-source justification.

25. Technology Purchases

Technology purchases may require Technology and Information Security review regardless of financial value.

- Software
- Cloud services
- AI services
- External APIs
- Data services
- Developer tools
- Managed technology services

26. Data-Processing Suppliers

Suppliers processing personal, confidential, customer, employee, or knowledge-base data may require additional Privacy, Information Security, Legal, or contractual approval.

27. Capital and Asset Purchases

Material equipment and assets may require Finance classification and Asset Management controls in addition to ordinary purchasing approval.

28. Travel Approval

Business travel requiring Company funding must be approved according to applicable travel and expense requirements before booking where prior approval is required. International or unusual travel may require additional management or security review.

29. Hospitality Approval

Business hospitality must comply with the Expense Policy and applicable ethics requirements. High-value, unusual, or sensitive hospitality may require additional approval.

30. Training and Conference Approval

Training, conferences, and professional events should be approved by the responsible manager and budget owner. Higher-value commitments follow the monetary thresholds in this matrix.

31. Software Renewals

Renewal approval should consider current usage, business need, security posture, contract changes, price increases, and total renewal commitment.

32. Contract Amendments

Material amendments that increase financial exposure, extend duration, change data processing, or materially alter risk should be re-approved under the applicable threshold and specialist-review requirements.

33. Purchase Order Amendments

Material increases to an approved purchase order should be evaluated using the revised total commitment. Amendments must not circumvent the approval level applicable to the total requirement.

34. Invoice Approval

Invoice approval confirms that goods or services represented by the invoice were appropriately ordered and received, subject to applicable three-way or equivalent controls.

- Purchase order or contract reference
- Receipt or service acceptance

- Invoice amount
- Supplier identity
- Required tax information

35. Payment Approval

Payment processing remains subject to Finance controls and authorized payment procedures. Transaction approval does not permit bypassing supplier-verification or payment-security controls.

36. Supplier Bank Detail Changes

Changes to supplier payment details require independent verification through an authorized process. An email request alone should not be treated as sufficient evidence for a material bank-detail change.

37. Budget Overruns

A transaction exceeding an approved budget may require additional budget-owner and Finance approval even when the underlying transaction falls within ordinary approval authority.

38. Foreign Currency

Approval thresholds should consider the INR-equivalent value at the time of commitment or according to the Finance-approved conversion methodology.

39. Approval of Personal Reimbursements

Employee reimbursements must be approved by an authorized person other than the claimant. Senior executives remain subject to appropriate independent review according to Company governance.

40. Executive Transactions

Executive expenses and commitments should be subject to independent review or approval by an appropriate authority where required by governance or internal-control arrangements.

41. Related-Party Transactions

Transactions involving related parties or persons with a material relationship to TechNova require disclosure and any additional approval prescribed by Company governance, Finance, Legal, or applicable requirements.

42. Approval for Sensitive Purchases

Purchases involving regulated information, privileged access, production infrastructure, security tools, confidential data, or other sensitive areas may require specialist approval irrespective of value.

43. Non-Standard Commercial Terms

Unusual payment terms, unlimited liability, automatic renewals, material penalties, unusual termination restrictions, exclusivity, or other non-standard commercial terms should be escalated for appropriate Legal, Finance, or executive review.

44. Approval Limits and Cumulative Exposure

Where several commitments form part of one supplier relationship or project, approval should consider cumulative exposure rather than treating each commitment independently.

45. Audit Trail

The Company should maintain sufficient evidence to demonstrate who requested, reviewed, approved, received, and paid for material transactions. Approval records should remain available according to applicable retention requirements.

46. Monitoring

Finance may periodically review approvals for threshold breaches, split transactions, unusual patterns, repeated exceptions, self-approval attempts, and other control weaknesses.

47. Control Violations

- Unauthorized commitments may be rejected or investigated.
- Improperly approved expenses may be withheld or recovered.
- Intentional threshold avoidance may result in disciplinary action.
- Repeated control failures may lead to additional approval restrictions.

48. Responsibility of Approvers

- Review the actual business purpose.
- Confirm appropriate budget.
- Assess reasonableness.
- Check required supporting information.
- Consider conflicts of interest.
- Confirm specialist reviews where required.
- Do not approve solely because another person requested approval.

49. Responsibility of Requestors

- Provide accurate information.
- Do not commit the Company before approval.
- Do not split transactions.
- Disclose conflicts and personal components.
- Provide supporting documentation.
- Use the correct approval route.

50. Matrix Interpretation

Where two requirements apply, the stricter approval or review requirement should normally be followed unless an authorized authority confirms otherwise. Nothing in this matrix removes obligations under applicable law, contract, security requirements, procurement controls, or other Company policies.

51. Frequently Asked Questions

Can I approve my own reimbursement?

No. The claimant must not approve their own reimbursement.

If my department has budget, can I purchase anything within that budget?

No. Budget availability does not replace transaction-level approval or required specialist review.

Can I split a purchase into several invoices?

No. Splitting a single requirement to avoid an approval threshold is prohibited.

Which amount applies to a recurring subscription?

The total expected contractual commitment should normally be considered, including committed fees during the initial term.

Does every technology purchase need security review?

Technology or security review is required where the nature of the purchase creates applicable technical, data, access, or security risk.

What if a purchase is urgent?

Use the approved emergency process, document the reason, obtain the highest practical authorization, and regularize the transaction afterward.

Can someone approve on behalf of my manager?

Only where that person has documented delegated authority.

What if the purchase exceeds my approval limit after an amendment?

The revised commitment must be evaluated under the applicable higher approval level.

Does an approved purchase order guarantee payment?

No. Payment remains subject to Finance controls, supplier verification, receipt or acceptance, and invoice validation.

What if an approver has a conflict of interest?

The conflict should be disclosed and an independent authorized approver should review the transaction.

52. Governance

The Finance Department owns this Approval Matrix and reviews it at least annually or when material changes occur in organizational structure, delegated authority, financial controls, procurement practices, or Company operations.

The latest approved version maintained in the official Company repository is the authoritative version.

53. Revision History

Version	Effective Date	Description	Owner	Approval
1.0	01 April 2026	Initial release of Approval Matrix	Finance Department	CFO / Managing Director

54. Related Documents

- Expense Policy
- Reimbursement Policy
- Procurement Policy
- Asset Management
- Information Security Policy
- Access Control Policy

END OF DOCUMENT

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